LFB HOLDINGS

Decision Distortion Assessment Reports

BASE REPORT

Your Decision Distortion Assessment — Incentive Misalignment Is Your Dominant Force

Your assessment is in. Of the four forces that bend organizational judgment under pressure, incentive misalignment is showing up most actively in your company right now. This one operates differently from the other three. Noise, bias, and accumulation distort judgment from inside the decision process. Incentives operate in the environment surrounding decisions — they determine how fast the other forces compound and how much friction exists to slow them. When incentives are misaligned, the other three forces run without resistance.

What incentive misalignment is

Incentive misalignment is the environmental layer that governs the rate at which noise, bias, and accumulation compound. Think of it as the fuel the other forces run on. Noise, bias, and accumulation are always present in organizations — they're latent. The incentive structure determines whether they operate with friction or without it.

In a clean incentive environment — honest feedback loops, no pressure to perform a narrative, no penalty for surfacing a hard truth — the three cognitive forces still operate, but they also self-correct. Disconfirming evidence lands. Honest dissent is possible. The chain forms slowly and breaks more easily. In a high-fuel environment — runway pressure, valuation optics, board expectations, identity fusion between founder and thesis — the same latent forces run without friction. The chain closes faster.

Two empirical regularities describe how misaligned incentives corrupt the signal environment. When a measure becomes a target, it ceases to be a good measure. And when a quantitative indicator is used for accountability, it becomes subject to gaming — not always through fraud, but through the rational redirection of effort toward what is measured and away from what matters.

How it typically shows up

The metrics a company reports to its board and the metrics it actually runs the business by start to diverge. Not dramatically, not dishonestly — but the external story and the internal reality are different documents. Sales reports units shipped; the operational reality is that implementation timelines are slipping and renewals are at risk. The company isn't lying. It's performing the narrative the incentive environment rewards, and the people inside can see the gap but can't quite say so without cost.

Then a harder truth surfaces — a product problem, a customer defection, a market signal that the thesis may need revisiting. The person who could have raised it three months ago didn't, because they had watched what happened to the last person who brought a hard problem into the room. By the time the truth is undeniable, the window for the cheaper response has closed.

That sequence — rational silence, delayed signal, expensive correction — is what high-fuel incentive environments produce. Reliably.

Where your assessment is pointing most clearly within incentive misalignment is on outcome bias — rewarding results rather than the quality of the judgment that produced them. The question your assessment flagged is one of the most structurally embedded problems in venture-backed companies: compensation, recognition, and advancement tend to track outcomes, not decision quality. A good decision can produce a bad outcome. A bad decision can produce a good outcome. An organization that can't distinguish between the two trains its people to be lucky rather than rigorous — and it will be unable to identify this problem until the luck runs out. The intervention isn't to stop caring about outcomes. It's to build in a deliberate practice of reviewing the decision process separately from the outcome — asking not just what happened but whether the decision was well-made given what was known at the time it was made.

Where to start

The first intervention is a decision quality review that runs separately from the outcome review. For every significant decision that has had time to play out, hold two conversations — not one. The first asks what happened. The second asks whether the decision was well-made given what was known at the time it was made. These are different questions and they require different conversations. Collapsing them into one — which is what outcome-focused cultures do by default — makes it impossible to distinguish a good decision that produced a bad outcome from a bad decision that produced a good outcome. That distinction is the entire basis of organizational learning.

The second is a decision log that captures reasoning at the moment of the decision, not in retrospect. When outcomes are known, memory reconstructs the reasoning to fit — good outcomes get remembered as having been well-reasoned, bad outcomes as having been obviously flawed. The only protection against that reconstruction is a record made before the outcome was visible. What did we know? What did we conclude from it? What were we uncertain about? That record is what makes the quality review possible, and without it the organization is evaluating decisions with the answer already in the room.

The research behind this

The academic foundation for what your assessment detected comes primarily from The Tyranny of Metrics by Jerry Muller — the most direct account of how incentive structures and metric fixation distort organizational behavior, and why the behaviors an incentive system produces are often not the behaviors it intended. Goodhart's Law and Campbell's Law — both documented in detail there — are directly applicable to what your scores are showing. The insight that matters most: the harder an organization pushes on a metric, the less reliable that metric becomes as a guide to the underlying reality it was meant to capture.

What's next

The full Decision Distortion whitepaper from LFB Holdings walks through how incentive misalignment combines with the other three forces — noise, bias, and accumulation — and how to locate the specific points in your decision process where a single closed gap would have the greatest effect.

If you'd like to talk through what your results mean for your company specifically, we're glad to do that.

LFB Holdings: lfbholdings.com

For ongoing case-by-case analysis of how these forces operate in real organizational decisions, Bad Call is a subscription brief that applies this framework to actual decision sequences — company autopsies, one at a time. **Bad Call:** badcall.ai